

Summary
Board Bill Number 41
Introduced by Alderwoman Alisha Sonnier
June 12, 2026

This ordinance establishes a definition of Community Development Corporations for purposes of eligibility for priority consideration in City administered funding. The ordinance aligns City practice with Missouri state law by incorporating the statutory definition of community development corporations, while setting additional local criteria related to nonprofit status, place-based service areas, governance, and demonstrated community revitalization activities. The ordinance requires eligible organizations to engage in multiple core areas of community development, including community organizing, and authorizes the City to apply consistent standards when awarding grants, loans, contracts, or other financial assistance to community development corporations. The ordinance establishes a certification framework and process; and contains a severance clause and emergency clause.

BOARD BILL NUMBER 41 INTRODUCED BY ALDERWOMAN ALISHA SONNIER

1 An Ordinance establishing the definition of Community Development Corporation (CDC) and
2 CDC certification framework; and containing a severance clause and emergency clause.

3 **WHEREAS**, the City of St. Louis expends public funds to support community development,
4 neighborhood stabilization, affordable housing, and economic opportunity, and such expenditures
5 must be administered in a manner that is transparent, accountable, and aligned with clearly defined
6 public purposes; and

7 **WHEREAS**, community development corporations have historically served as locally rooted,
8 nonprofit partners in advancing place based revitalization efforts, particularly in neighborhoods
9 experiencing disinvestment, displacement pressures, or long term structural inequities; and

10 **WHEREAS**, the Missouri General Assembly has recognized community development
11 corporations as eligible entities for community and economic development activities under state
12 law, including Section 135.400 of the Revised Statutes of Missouri; and

13 **WHEREAS**, the effectiveness of public investment in community development is strengthened
14 when recipient organizations demonstrate a sustained presence within the communities they serve,
15 maintain governance structures that reflect community connection, and engage residents as
16 partners in shaping neighborhood outcomes; and

17 **WHEREAS**, establishing clear and uniform criteria for the recognition of community
18 development corporations for purposes of City funding promotes consistency across departments,
19 protects the integrity of public expenditures, and ensures that City resources are directed to
20 organizations engaged in measurable, place based community revitalization activities; and

21 **WHEREAS**, the City seeks to support community development corporations that undertake a
22 comprehensive approach to revitalization, including housing stability, economic opportunity,

community organizing, and neighborhood quality of life, recognizing that durable neighborhood change requires coordinated and community driven strategies; and

WHEREAS, the purpose of this ordinance is to define community development corporations for purposes of eligibility for priority consideration in City administered funding, to align City practice with state law, and to establish reasonable standards that ensure public funds advance equitable, accountable, and long term community development outcomes within the City of St. Louis; and

WHEREAS, it is the intent of the Board of Aldermen for the City to identify dedicated funding sources, and that such City administered funding streams designated for community development purposes be reserved for or prioritized towards Community Development Corporations under this Ordinance, in recognition of their place-based accountability, governance standards, and community connection.

BE IT ORDAINED BY THE CITY OF ST. LOUIS AS FOLLOWS:

SECTION ONE. Community Development Corporations - Definition and Eligibility.

A. Definition. For purposes of eligibility for City administered grants, loans, contracts, or other financial assistance, a “Community Development Corporation” or “CDC” shall mean an organization that:

1. Meets the definition of a community development corporation under Section 135.400, RSMo, as amended, and
2. Is a place-based nonprofit corporation organized under the laws of the State of Missouri and recognized as tax exempt under Section 501(c)(3) of the Internal Revenue Code, and

3. Has as its primary mission the promotion and support of community revitalization efforts, including but not limited to affordable housing development, economic development, community organizing, neighborhood stabilization, and improvement of quality of life, and
4. Operates within clearly defined geographic boundaries within the City of St. Louis, which may include a neighborhood, ward, or cluster of census tracts, designated as the organization's core service area.

B. Core Service Area Requirements.

1. A CDC shall designate a core service area and demonstrate ongoing, place based community development outcomes within that geography.
2. The core service area may evolve over time provided that the CDC continues to demonstrate a sustained and meaningful connection to the community served.
3. Activities conducted outside the designated core service area shall remain place based and shall be carried out in formal partnership with organizations, stakeholders, or residents rooted in the affected community.
4. A CDC may design and operate programs or services with broader citywide or regional reach when such activities advance the organization's mission and support community development outcomes, including but not limited to technical assistance, housing services, data tools, policy engagement, or capacity building initiatives.

C. Governance and Staffing.

1. A CDC shall be governed by a board of directors that includes residents of the core service area and individuals with a demonstrated connection to the community served.
2. At least twenty-five percent (25%) of a CDC's board of directors shall consist of residents of the core service area.
3. A CDC shall be staffed by at least one full-time, paid employee and may additionally be supported by paid professionals, volunteers, or a combination thereof.

D. Community Revitalization Activities. CDCs shall demonstrate active work in at least three of the four Community Revitalization categories set forth below, with Community Organizing required.

1. **Housing and Real Estate Development.** Activities may include affordable housing development, stewardship or preservation; homeownership programs; housing counseling or stabilization services; property acquisition, rehabilitation, or land banking; anti-displacement strategies including landlord-tenant support and rental assistance; and home repair programs.
2. **Economic Development.** Activities may include small business support or technical assistance; commercial corridor revitalization; workforce development or job readiness programs; entrepreneurship support; and financial capability programs.

1 **3. Community Organizing, Planning, Engagement, and Advocacy.**

2 Activities shall include collaboration with neighborhood associations or
3 block units and facilitating community meetings or forums, and one or more
4 of the following: neighborhood planning or visioning efforts; community-
5 driven development planning; policy advocacy related to housing,
6 development, or equity; data collection or community based research;
7 resident leadership development; organizing around neighborhood issues;
8 and civic engagement initiatives.

9 **4. Neighborhood Stabilization and Quality of Life.** Activities may include
10 beautification, greening, or public space activation; public safety initiatives;
11 blight reduction efforts; disaster response or recovery; and youth, education,
12 or cultural programming.

13 **E. Good Standing.** A CDC shall be in good standing with the City of St. Louis and
14 shall not have unresolved audit findings, contract defaults, or compliance violations
15 related to prior City funding.

16 **F. Construction.** Nothing in this section shall be construed to limit the authority of
17 the City to establish additional eligibility criteria, reporting requirements, or
18 performance standards for specific funding programs.

19 **G. Funding Priority.** For funding programs specifically designated or appropriated
20 for community development, neighborhood revitalization, or place-based
21 community investment purposes, the City shall give priority consideration to
22 organizations certified as Community Development Corporations under this

Ordinance. The City may designate specific funding streams as exclusively available to certified CDCs.

SECTION TWO. CDC Certification.

A. Administering Authority. The Chief Executive Officer (CEO) of the St. Louis Development Corporation (SLDC), or the CEO's designee, shall serve as the Certifying Authority responsible for implementing and administering the CDC certification process established by this section.

B. Certification Required. An organization seeking to qualify as a Community Development Corporation for purposes of eligibility for priority consideration in City administered grants, loans, contracts, or other financial assistance under Section One of this Ordinance shall obtain certification from the Certifying Authority prior to applying for such funds. An organization may apply for program-specific funding concurrently with submitting a certification application, provided that no award shall be finalized until certification is granted.

C. Application for Certification. An organization seeking certification shall submit a completed application to the Certifying Authority on a form established by the Certifying Authority. The application shall include, at minimum, the following:

- a. Articles of incorporation and current bylaws;
- b. Evidence of tax-exempt status under Section 501(c)(3) of the Internal Revenue Code;
- c. Evidence of registration and good standing as a nonprofit corporation under the laws of the State of Missouri;

1 d. Evidence of compliance with Section 135.400, RSMo, as amended;
2 e. A description, of the organization's designated
3 core service area within the City of St. Louis;
4 f. Documentation demonstrating active work in at least three of the four
5 Community Revitalization categories set forth in Section One, Subsection
6 D, including documentation specifically demonstrating active work in the
7 Community Organizing, Planning, Engagement, and Advocacy category;
8 g. A current list of board members, including identification of members
9 who are residents of and/or have a demonstrated connection to the core
10 service area;
11 h. Evidence of at least one full-time, paid employee;
12 i. The organization's two most recent fiscal year financial statements,
13 and most recent audited financial statement or account review; and
14 j. A certification by an authorized officer of the organization that the
15 information submitted is true and accurate, and that the organization is not
16 delinquent on any tax obligation to the City of St. Louis and has no
17 unresolved audit findings, contract defaults, or compliance violations
18 related to prior City funding. The Certifying Authority may require
19 additional documentation as necessary to evaluate compliance with the
20 criteria set forth in Section One.

21 **D. Determination.** The Certifying Authority shall issue a written determination
22 granting or denying certification within sixty (60) days of receipt of a complete

1 application. The Certifying Authority shall notify the applicant in writing if the
2 application is incomplete and the sixty-day period shall not commence until a
3 complete application is received. A certification shall be granted upon a finding
4 that the applicant meets all criteria set forth in Section One of this Ordinance.
5 A denial shall state with specificity the grounds for denial and identify which
6 criteria the applicant has failed to satisfy.

7 **E. Term and Renewal.** A certification granted under this section shall be valid for a
8 period of three (3) years from the date of issuance. A certified organization shall
9 submit a renewal application to the Certifying Authority no later than ninety (90)
10 days prior to the expiration of its current certification. The renewal application
11 shall include updated versions of the documentation required under Subsection C
12 and shall demonstrate continued compliance with all criteria set forth in Section
13 One. A certified organization whose renewal application is pending at the time of
14 expiration shall be deemed provisionally certified and shall remain eligible for
15 priority consideration in City administered funding until the Certifying
16 Authority issues a written determination on the renewal application, provided that
17 the renewal application was timely submitted.

18 **F. Annual Good Standing Certification.** In each year of the certification
19 term that does not require a full renewal application, a certified organization shall
20 submit to the Certifying Authority an annual good standing certification, on a
21 form established by the Certifying Authority, confirming that the organization
22 remains in compliance with the criteria set forth in Section One, that no material

1 changes have occurred with respect to the organization's nonprofit status,
2 service area, board composition, or staffing, and that the organization has no
3 unresolved audit findings, contract defaults, or compliance violations related to
4 City funding. The annual good standing certification shall be submitted no later
5 than ninety (90) days after the close of the organization's fiscal year.

6 **G. Failure to Timely Renew; Decertification Upon Lapse.** A certified organization

7 that fails to submit a renewal application within the time required under
8 Subsection E shall be deemed decertified upon the expiration of its current
9 certification. Upon lapse, the Certifying Authority shall provide written notice to
10 the organization's last known address of record stating that its certification has
11 lapsed, the effective date of decertification, and the steps required to seek
12 reinstatement. A decertified organization shall be ineligible for priority
13 consideration in City administered funding from the date of lapse until the
14 Certifying Authority issues a written determination approving a renewal
15 application. Submission of a renewal application following a lapse shall not
16 restore provisional certification status under Subsection E, and the organization
17 shall remain ineligible for priority consideration in City administered funding
18 during the pendency of the Certifying Authority's review. Upon approval of a
19 renewal application submitted after a lapse, the following shall apply:

- 20 (i) If the renewal application was submitted within sixty (60) days of the
21 expiration of the lapsed certification, the reinstated certification shall

1 retain the original expiration date, and the remaining term of
2 the original certification period shall be restored; or

3 (ii) If the renewal application was submitted more than sixty (60) days
4 after the expiration of the lapsed certification, a new three (3) year
5 certification period shall commence as of the date of the Certifying
6 Authority's written determination of approval.

7 In no event shall reinstatement under this Subsection render an organization
8 eligible for priority consideration in City administered funding for any period
9 during which its certification was lapsed.

10 **H. Revocation and Suspension.** The Certifying Authority may suspend or revoke a
11 certification upon a finding that a certified organization no longer meets the
12 criteria set forth in Section One, has submitted materially false or misleading
13 information in its certification or renewal application or annual good standing
14 certification, or has failed to timely submit a required annual good standing
15 certification.

16 Prior to suspension or revocation, the Certifying Authority shall provide the
17 certified organization with written notice of the proposed action and the grounds
18 therefore, and shall afford the organization not less than thirty (30) days to
19 respond in writing and to cure any identified deficiency.

20 A revocation or suspension shall be effective upon written notice to the
21 organization following completion of the notice and response period. A
22 suspended organization shall not be eligible for priority consideration in City

1 funding awards during the period of suspension. A revoked organization shall not
2 be eligible for priority consideration in City funding awards until certification is
3 restored.

4 **I. Appeals.** An organization that has been denied certification, denied renewal,
5 suspended, or revoked may appeal the determination to the Certifying Authority,
6 or to such other appellate bodies as the SLDC shall designate, within thirty (30)
7 days of receiving written notice of the adverse determination.

8 The Certifying Authority shall issue a written decision within sixty (60) days of
9 receipt of a complete appeal. The decision of the appellate body shall be final for
10 purposes of administrative review.

11 Filing an appeal shall not stay the effect of a denial, suspension, or revocation
12 pending the appellate body's decision unless the appellate body grants a stay upon
13 a showing of good cause.

14 **J. Public Registry.** The Certifying Authority shall maintain a public registry of all
15 organizations holding current CDC certification under this Ordinance. The
16 registry shall be published on the City's official website and updated within fifteen
17 (15) business days of any certification, renewal, suspension, revocation, or
18 restoration.

19 The registry shall include, at minimum, the certified organization's name,
20 designated core service area, certification date, and certification expiration date.

21 The registry shall also identify organizations whose certification has been
22 suspended or revoked, including the effective date of such action.

1 **K. Transition.** Organizations that are receiving City administered funding as of the
2 effective date of this Ordinance and that would qualify as Community
3 Development Corporations under Section One shall have one hundred eighty
4 (180) days from the effective date to submit an application for certification under
5 this section. Such organizations shall remain eligible for priority consideration
6 in City administered funding during the transition period, provided they submit a
7 certification application within the time period specified herein.

8 **L. Relationship to Program-Specific Requirements.** Certification under this
9 section establishes threshold eligibility only. Nothing in this section limits the
10 authority of the City or any administering department or agency to establish
11 additional eligibility criteria, reporting requirements, performance standards, or
12 capacity thresholds for specific funding programs consistent with Section One,
13 Subsection F of this Ordinance. Certification does not guarantee the award of any
14 grant, loan, contract, or other financial assistance. Departments or agencies
15 administering funding programs designated for community development
16 purposes shall condition eligibility on CDC certification under this section unless
17 otherwise authorized by ordinance.

18 **SECTION THREE. Severability Clause.** The sections of this Ordinance shall be severable. In
19 the event that any section of this Ordinance is found by a court of competent jurisdiction to be
20 invalid, the remaining sections of this Ordinance are valid, unless the court finds the valid sections
21 of the Ordinance are so essential and inseparably connected with and dependent upon the void
22 section that it cannot be presumed that this Board would have enacted the valid sections without

1 the void ones, or unless the court finds that the valid sections standing alone are incomplete and
2 are incapable of being executed in accordance with the legislative intent.

3 **SECTION FOUR. Emergency Clause.** This being an ordinance for the preservation of public
4 peace, health, and safety, it is hereby declared to be an emergency measure within the meaning of
5 Sections 19 and 20 of Article IV of the Charter, and, therefore, this Ordinance shall become
6 effective immediately upon its passage and approval of the Mayor of the City.